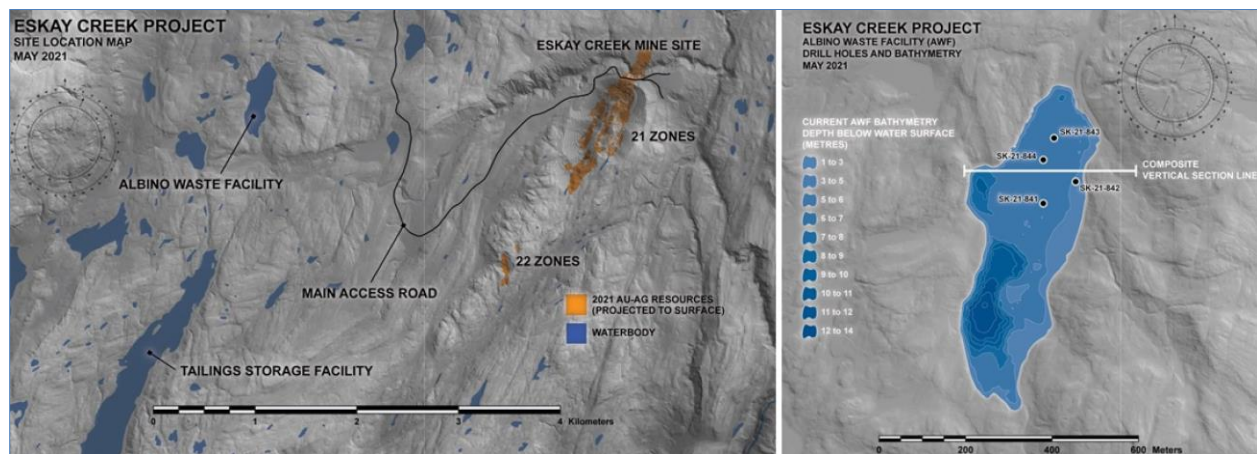


Ticker: SKE CN **SCPe cash:** C\$85m **Project:** Eskay Creek
Market cap: C\$812m **Price:** C\$3.34/sh **Country:** Canada, BC
RECOMMEND. (unc): BUY **TARGET (unc):** C\$4.30/sh **RISK RATING:** HIGH

The impressive 4-6g/t AuEq from just the first four holes at the historical Albino waste facility is a great result, confirming not just grade but continuity. Whilst the test area is only 5,200m², today's drilling suggests ~42koz in this small portion of the broader >128km² area to see further drilling in 2H21. Additionally, last week's ultra high-grade results from Snip are impressive with 3.2m @ 156g/t and narrower 0.5m @ 141g/t from new mineralization in the FW under Twin hills, very useful if more high-grade mineralization can be delineated further. Key here is that the bonanza grades from Snip could be used to provide concentrate for blending with Eskay. In this gold price environment, it has good value in its own right, either on a self-development or spin out basis. Critically, the concentrate market is all about grade. The high in-situ Snip grade means high concentrate grade, generating very accretive blending / 'spiking' options. We expect this to grow further as more drills are added. Stepping back, we update our model for the recent C\$57.5m financing and **maintain our BUY rating and C\$ 4.30/sh PT** based on a **0.8xNAV_{5%-1850-24}** from a fully funded, fully diluted DCF, 297m shares net of additional \$100m equity for mine build and C\$212m debt@ 60% gearing. This includes 2.7Moz of Eskay Creek resources outside our modelled 3Moz AuEq mining inventory at an attributed US\$50/oz. In our view, the premium is warranted given the potential SCPe >500koz pa scale in tier 1 jurisdiction, among the few advanced stage projects of its size globally. We look forward to material catalysts around regional exploration, followed by a ~1Q22 FS likely to show improvements given the larger resource. Thereafter we think the recent Tahltan investment bodes well for cooperative permitting, which could see build start before the 2024 base case.

Figure 1. Plan maps: (A) Eskay Creek Project showing (B) location of today's AWF drilling

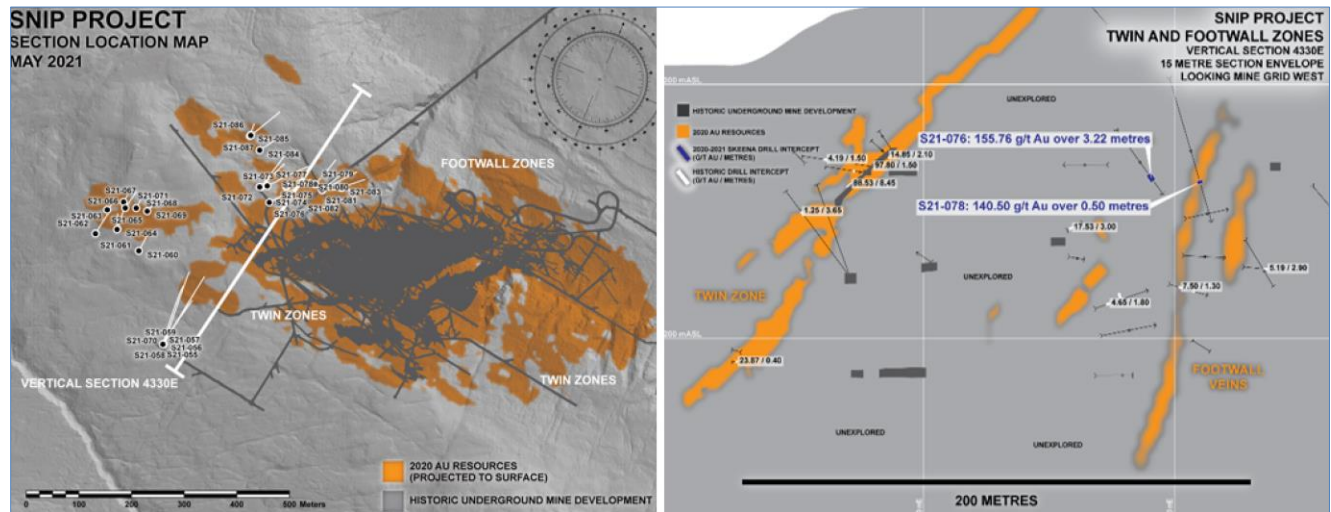


Source: Skeena

RC waste pile drilling returns 23m @ 6.9g/t AuEq; New Snip vein returns 3.2m @ 156g/t

The first four RC holes drilled on the ice surface of the Albino waste facility (AWF) in March returned **22.8m @ 6.9g/t, 16m @ 6.3g/t, 12.2m @ 6.7g/t, and 19.8m @ 4.8g/t AuEq** that confirmed mineralization in the initial 5,200m² test area of the total 128,900m² AWF facility (Figure 1). Additional drilling being planned for 2H21 based on the initial results. Skeena has also **closed a C\$57.5m bought deal** public offering at \$3.10/sh. finally, Skeena reported results from the 2021 Phase 3 last week, resource conversion program at Snip hit **3.2m @ 156g/t Au** including **0.9m @ 376g/t Au** in the footwall sediments below the Twin Zone (Figure 2) and **0.5m @ 141g/t Au**, both from surface. Further northwest, FW mineralization returned 0.5m @ 61.3g/t and 3m @ 8.4g/t including 1.5m @ 12.2g/t that correlates with modelled resources. Additional assays are pending. Drilling is ongoing with two UG rigs and additional surface rigs to be added once permits are received.

Figure 2. (A) Snip plan map and (B) vertical section with today's results



Source: Skeena

Why we like Skeena Resources

- Large high-grade open pit with SCPe >500koz upside potential in coming 12-18M
- Shift in market dynamics allows concentrate sales for lower capex
- Optionality from high-grade Snip mine nearby to blend concentrate or add ounces
- Catalyst heavy with drilling, metallurgy, PFS and DFS in coming 18M

Catalysts

- CY21: Regional drilling
- 2Q21: Permitting update
- 1Q22: BFS including expanded resource

Brock Salier (London) M: +44 7400 666 913 bsalier@sprott.com

Justin Chan (London) M: +44 7554 784 688 jchan@sprott.com

Brandon Gaspar (Toronto) M: +1 437 533 3142 bgaspar@sprott.com

Ticker: SKE CN		Price / mkt cap: C\$3.34/sh, C\$812m					Project PNAV today: 0.64x		Asset: Eskay Creek / Snip	
Author: B Salier/ B Gaspar		Rec / 0.8xNAV PT BUY, C\$4.3/sh					1xNAV _{1Q21} FF FD: C\$5.19/sh		Country: Canada: BC	
Commodity price		CY18A	CY19A	CY20E	CY21E	CY22E	Resource / Reserve		AuEq (koz)	AuEq (g/t)
Gold price		1,850	1,850	1,850	1,850	1,850	Pittable resource		5425koz	4.17g/t
SOTP project valuation*							Underground resource		224koz	5.41g/t
		C\$m	O/ship	NAVx	C\$/sh		Snip		646koz	13.60g/t
Ungeared proj. @ build start (2Q22)		1,367	100%	1.00x	4.99		Funding: uses		Funding: sources	
Cash 1Q21 + raise		85	100%	1.00x	0.31		PFS capex		C\$303m	SCPe 1Q21 cash + options cash* C\$45m
Cash from options		42	100%	1.00x	0.15		SCPe G&A to 1st Au + ABX \$		C\$15m	1Q21 raise C\$58m
Eskay Ck resources ex reserve @US\$50/oz		137	100%	1.00x	0.50		SCPe pre-production expl'n		C\$11m	Mine debt @ 60% gearing C\$212m
Snip (US\$75/oz)		60	100%	1.00x	0.22		SCPe finance costs + wkg cap		C\$68m	Mine build equity at 30% prem. C\$100m
Asset NAV5% C\$1850/oz		1,690			6.18		Total uses		C\$397m	Total proceeds C\$414m
*Shares diluted for options but not mine build		Market P/NAV _{8%} 2Q20				0.59x	*Cash from options expiring pre first pour		Buffer	C\$17m
Asset value: 1xNPV project @ build start (C\$m, ungeared)*						Share data				
Project NPV (C\$m)*		\$1750oz	\$1850oz	\$1950oz	\$2050oz	\$2150oz	Basic shares (m)		243.2	FD with build equity raise 296.8
10.0% discount		1,207	1,304	1,401	1,497	1,594	FD with options (m)		273.7	
7.5% discount		1,343	1,452	1,560	1,668	1,776	Ratio analysis		CY18A	CY19A
5.0% discount		1,504	1,626	1,749	1,871	1,993	Average shares out (m)		91.3	107.3
Ungeared project IRR:		84%	91%	97%	103%	109%			146.2	161.8
Project NPV (C\$m)*		\$1750oz	\$1850oz	\$1950oz	\$2050oz	\$2150oz			171.2	
3.7g/t AuEq		1,263	1,376	1,453	1,563	1,673	EPS (C\$/sh)		-	-
4.1g/t AuEq		1,504	1,626	1,749	1,871	1,993	CFPS (C\$/sh)		-	-
4.5g/t AuEq		1,775	1,910	1,995	2,126	2,257	EV (C\$m)		303.7	346.6
NPV5 (C\$m)*		\$1750oz	\$1850oz	\$1950oz	\$2050oz	\$2150oz	FCF yield (%)		-	-
Payability: 67%		1,263	1,376	1,453	1,563	1,673	PER (x)		-	-
Payability: 74%		1,504	1,626	1,749	1,871	1,993	P/CF (x)		-	-
Payability: 81%		1,775	1,910	1,995	2,126	2,257	EV/EBITDA (x)		-	-
*Project level NPV, excl finance costs and central SGA, discounted to build start							Income statement		CY18A	CY19A
Group valuation over time^		2Q21	2Q22	2Q23	2Q24	2Q25	Net revenue (C\$m)		-	-
Eskay Creek (C\$m)		1,318	1,415	1,640	1,777	1,456	Gross profit (C\$m)		-	-
Net cash prior qtr (C\$m)		85	(9)	(65)	(132)	243	D&A, attrib (C\$m)		0.2	0.4
G&A and finance costs (C\$m)		(84)	(83)	(80)	(68)	(50)	Admin (C\$m)		4.3	4.5
Cash from options (C\$m)		42	42	42	42	42	Expensed exploration (C\$m)		11.5	12.8
Snip		60	60	60	60	60	Finance cost (C\$m)		(0.0)	(0.1)
NAV FF FD (C\$m)		1,420	1,425	1,596	1,679	1,751	Royalty (C\$m)		-	-
1xNAV _{5%} /sh FF FD (C\$/sh)		5.19^	5.21^	5.38*	5.66*	5.90*	Forex, other (C\$m)		(0.5)	9.5
Equity ROI from spot (% pa)		56%	37%	30%	26%		Taxes (C\$m)		-	-
Geared company NAV diluted for mine build, net G&A and finance costs						Net income (C\$m)				
2Q22 1xNAV FF FD (C\$/sh)^		\$1750oz	\$1850oz	\$1950oz	\$2050oz	\$2150oz	Cash flow, attrib.		CY18A	CY19A
10.0% discount		3.90	4.26	4.62	4.98	5.34	EBIT (C\$m)		(15.5)	(27.2)
7.5% discount		4.28	4.67	5.07	5.46	5.85	Add back D&A (C\$m)		0.2	0.4
5.0% discount		4.72	5.15	5.58	6.01	6.44	Less tax + net interest (C\$m)		(0.0)	(0.1)
Geared project IRR:		76%	82%	88%	94%	100%	Net change in wkg cap (C\$m)		(1.4)	4.2
2Q22 1xNAV FF FD (C\$/sh)^		\$1750oz	\$1850oz	\$1950oz	\$2050oz	\$2150oz	Add back other non-cash (C\$m)		1.6	12.0
Payability: 67%		3.85	4.25	4.52	4.91	5.30	Cash flow ops (C\$m)		(15.1)	(10.5)
Payability: 74%		4.72	5.15	5.58	6.01	6.44	PP&E - build + sust. (C\$m)		3.2	0.6
Payability: 81%		5.69	6.16	6.46	6.93	7.39	PP&E - expl'n (C\$m)		-	(0.2)
^Project NPV incl grp SG&A & fin. cost, +net cash; *diluted for mine build equity						Cash flow inv. (C\$m)				
Production		Y1	Y2	Y3	Y4	Y5	Share issue (C\$m)		12.0	22.1
Gold production (000oz)		439	360	359	339	354	Proceeds from sale (C\$m)		-	-
C1 cost (US\$/oz)		823	894	858	844	828	Debt draw (repay) (C\$m)		-	-
AISC cost (US\$/oz)		838	932	890	875	871	Cash flow fin. (C\$m)		12.0	22.1
AISC = C1 + ug sustaining capex, Y1 = 12M to Dec 2024						Net change in cash (C\$m)				
						EBITDA (C\$m)				
						Balance sheet				
						Cash (C\$m)				
						Acc rec., inv, prepaid (C\$m)				
						PP&E + other (C\$m)				
						Total assets (C\$m)				
						Debt (C\$m)				
						Accounts payable (C\$m)				
						Others (C\$m)				
						Total liabilities (C\$m)				
						Sh'hlds equity + wrnts (C\$m)				
						Retained earn'gs + rsvs (C\$m)				
						Liabilities + equity (C\$m)				

Gold prod'n (LHS, 000oz)

AISC (RHS, US\$/oz Au)

Year	Gold prod'n (000oz)	AISC (US\$/oz Au)
Y1	439	838
Y2	360	932
Y3	359	890
Y4	339	875
Y5	354	871

Source: SCP estimates

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SELL:	0
UNDER REVIEW:	0
TENDER:	0
NOT RATED:	0
TOTAL	41

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